



Data Centers in Court: The Emerging Wave of Nuisance, Environmental, and Land-Use Litigation

JULY 13, 2026

Over the past year, several lawsuits have been filed against regulators as well as against data center developers and operators by neighboring residents and other plaintiffs. These lawsuits, including a June 2026 lawsuit against the operators of a data center in Mississippi, bring state common-law claims, like nuisance and negligence, as well as claims under environmental statutes.¹ This alert surveys that emerging landscape of litigation: the causes of action being pleaded, the remedies sought, the forums in which the suits are unfolding and their status. The cases discussed below are illustrative rather than exhaustive, and most remain at early stages. Together, however, they offer a crystallizing preview of the litigation risks that accompany one of the

largest infrastructure build-outs in modern history.²

Backdrop

Global investment in data centers nearly doubled between 2022 and 2025, reaching roughly half a trillion dollars in 2024.³ Meanwhile, global data center electricity consumption has grown by around 12% per year since 2017—more than four times faster than the rate of total electricity consumption—with the United States accounting for the largest single share of global data center electricity use.⁴ The same trend is seen domestically; data center electricity demand more than doubled between 2017 and 2023.⁵ These facilities consumed an estimated 4.4% of the nation's electricity in 2023, a figure that a US Department of Energy national laboratory study projected could reach between 6.7% and 12% by 2028.⁶ That growth has concentrated demand for power, water and land—particularly in regional clusters such as Northern Virginia.⁷ It has also drawn increased attention to the externalities that neighboring residents and advocacy groups increasingly associate with large facilities: the consumption of electricity and water; noise from cooling systems and on-site power generation; emissions from backup generators and, in some projects, on-site gas turbines; and the placement of large industrial sites near residential areas.⁸ The extent to which data centers in fact drive these effects is frequently contested.⁹

Emerging Suits

Common-Law Nuisance and Related Tort Claims

The most prominent recent suits are based in common-law nuisance. For example, in June 2026, three local residents sued, among other defendants, the operator of a power plant in Southaven, Mississippi, on behalf of a putative class of more than 10,000, alleging that gas turbines installed to power a nearby data center generate “a combination of high-pitched squealing, continuous engine roaring, low-frequency rumbling, and tonal humming” that crosses property lines and enters area

homes.¹⁰ They assert public and private nuisance, negligence, and emotional distress claims and seek both damages and injunctive relief.¹¹ The complaint frames the conduct in terms that recur across these cases, describing companies “rushing to construct massive data centers and power-generation facilities, siting them in quiet residential areas . . . and subjecting residents to near-constant noise, vibrations, and other nuisance-level harms.”¹²

This suit is representative of a broader wave of such litigation. In May 2026, similar putative class actions were filed over computing facilities in Vineland, New Jersey, and Dowagiac, Michigan, each pleading private nuisance, public nuisance and negligence on behalf of households within roughly one mile of each facility, and each advancing claims linked to allegations of continuous noise from cooling systems and generators.¹³ A similar class action suit was filed in April 2026 alleging public and private nuisance, negligence, and emotional distress claims against a cryptocurrency-mining facility in North Tonawanda, New York, based on analogous noise and vibration theories.¹⁴ Likewise, a cryptocurrency mining facility in Hood County, Texas, was sued in an individual state private-nuisance action in October 2024 and in a federal class action in May 2026 alleging private nuisance, negligence, emotional distress and restitution claims.¹⁵ Across these matters, plaintiffs seek a recurring set of remedies: compensatory and punitive damages, injunctive abatement of the noise, and, in some cases, court-supervised medical monitoring.¹⁶

Environmental Claims

A second category of emerging data center litigation invokes federal environmental statutes under air pollution- and water pollution-related theories. In April 2026, the NAACP, represented by the Southern Environmental Law Center and Earthjustice, filed a Clean Air Act citizen suit alleging that the operating company installed and operated gas turbines without the preconstruction and operating permits the Clean Air Act requires, and seeking

declaratory and injunctive relief and civil penalties.¹⁷ Notably, in July 2026 the US Department of Justice, on behalf of the U.S. Environmental Protection Agency, moved to intervene as a plaintiff in the citizen suit and to dismiss the case, based on its interpretation of the Clean Air Act's citizen suit provision.¹⁸ The motion also states that the U.S. Environmental Protection Agency opposes the suit based on the facility's importance to artificial intelligence expansion and innovation, national energy infrastructure, and national and economic security—a posture that itself illustrates the cross-currents in this area.¹⁹

Water has produced the clearest instance of settlement recovery to date. In litigation over nitrate contamination of an Oregon groundwater basin, a data center subsidiary agreed in 2026 to a \$20.5 million settlement while denying that it had contributed to the contamination.²⁰ Other widely publicized water disputes—such as a Georgia family's complaints that nearby data center construction affected their residential well—have drawn regulatory and congressional attention without, as of this writing, ripening into filed litigation, a reminder that public controversy often precedes, and may foreshadow, formal legal claims.²¹

Land-Use and Zoning Challenges

A third and numerically larger category of data center lawsuits does not sound in tort at all, instead challenging the local approvals that allow data centers to be built in the first place. A leading example arises from Prince William County, Virginia, where residents and a homeowners association challenged the rezoning of roughly 2,000 acres for a large data center development.²² A Virginia trial court concluded that the rezoning failed to satisfy the public notice requirements of Virginia Code § 15.2-2204, and the case is now on appeal.²³ These types of suits typically seek to vacate the underlying approval rather than obtain money damages, but their factual allegations—noise, vibration, well interference and diminished property values—closely

track the legal theories described above.²⁴ And this new litigation runs in both directions. Developers, too, have begun to sue, challenging as unlawful local moratoriums and permit denials.²⁵

Potential Defenses

Because these causes of action are well established, so too are the defenses available against them, and attention to those defenses at the outset can inform both litigation strategy and facility design. As to the nuisance and related tort claims, a defendant can contest whether any interference is “unreasonable”—the touchstone of nuisance liability—by pointing to the utility of the facility and to its compliance with applicable permits, zoning approvals and noise standards, including mitigation conditions adopted through the public notice-and-comment processes that preceded construction.²⁶ A defendant may likewise invoke the principle that a plaintiff who “came to the nuisance” is not, for that reason alone, entitled to relief.²⁷ As to the putative class actions, defendants may argue that individualized questions—the noise, vibration and property value effects that vary widely with distance, topography and the circumstances of each resident—predominate over common ones and therefore defeat class certification.²⁸ As to the environmental and statutory claims, permit compliance may furnish a defense; the Clean Water Act, for instance, deems compliance with a discharge permit to be compliance with the Act for many enforcement purposes.²⁹ And as to the land-use challenges, defendants may raise threshold obstacles such as standing, ripeness and failure to exhaust, along with arguments on the merits.

Forums

Geographically, the recent suits track data center build-out. Tort and nuisance actions have been filed in federal court in Mississippi, New Jersey, New York, Texas and Michigan and in state court in Texas; environmental claims have been brought in Mississippi and Oregon; and land-use challenges have proceeded in state courts in

Virginia and elsewhere.³⁰ The choice of forum tends to follow the legal theory of the case. Putative class actions have been filed in, or removed to, federal court under the Class Action Fairness Act,³¹ while federal statutory claims, including Clean Air Act and Clean Water Act citizen suits, are filed in federal district court.³² On the other hand, zoning and land-use challenges—creatures of state and local law—generally remain in state court.

Outcomes to Date

The body of case law described above remains young, and few of these suits have produced rulings on the merits. The most instructive decisions so far come from the analogous cryptocurrency-mining context, where, for example, a Texas court has declined to dismiss residents' nuisance claims at the pleading stage, allowing them to proceed into discovery.³³ No data center noise nuisance suit appears yet to have reached summary judgment or trial.³⁴ The clearest resolutions have come through settlement—including the Oregon water settlement noted above and, in an earlier Tennessee matter, a negotiated shutdown of the offending facility³⁵—and through the land-use track, where the Virginia notice ruling represents a significant, if procedural, victory for challengers.³⁶

Lessons and Practical Steps

While seeing data center operators as the defendants in such lawsuits is new, the causes of action described above are well established, as is the case law that will likely be applied to them. Accordingly, several trends emerge even at this early stage. First, noise and vibration are the most common factual predicate pleaded, and they are also among the most addressable: baseline and post-construction sound studies, acoustic enclosures and shrouds for generators and cooling equipment, and meaningful setbacks from residential uses can reduce both the underlying impact and the associated litigation exposure.³⁷ Second, several of the most serious claims arise not from the operations themselves but from alleged failures to obtain required air or water permits before

construction—confirming that on-site generation, backup generators, and water withdrawals are fully permitted, and that emissions controls meet or exceed applicable standards, is an important safeguard.³⁸ Third, siting and diligence decisions made early—including attention to local zoning and notice procedures, water sourcing, and proximity to residences and sensitive communities—can essentially foreclose entire categories of later challenge.³⁹ Fourth, even when not required by law, community engagement and transparent disclosure of resource use can reduce the friction that frequently precedes litigation.⁴⁰ Finally, because these theories are novel and evolving, operators and their counsel should monitor developments closely and account for litigation risk in transactional, insurance and financing arrangements.

Conclusion

The lawsuits surveyed here are early entrants in what is likely to become a substantial and creative field of litigation. They arrive alongside the wave of state and local regulation we have [described elsewhere](#), which will generate litigation of its own. For companies that build, operate, finance and/or contract with data centers, the prudent course is to anticipate these claims and to design facilities, obtain permits and foster community relationships with them in mind. WilmerHale's litigators, together with its regulatory, environmental and transactional lawyers, regularly counsel clients across the AI and infrastructure sectors and are well positioned to help companies assess and mitigate these emerging risks, defend against novel claims, and navigate the rapidly developing intersection of data centers, environmental law and the communities in which these facilities operate.

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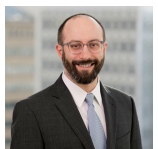
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 4. *Id.* at 14.
 5. Arman Shehabi et al., *2024 United States Data Center Energy Usage Report*, Lawrence Berkeley Nat’l Lab’y, Pub. No. LBNL-2001637, at 6 (Dec. 2024), <https://escholarship.org/uc/item/32d6m0d1>.
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 11. *Id.* at 51–62.
 12. *Id.* at 1.
 13. Complaint, *Montgomery v. DataOne USA LLC*, No. 1:26-cv-05972 (D.N.J. May 26, 2026), available at <https://www.classaction.org/media/montgomery-et-al-v-dataone-usa-llc.pdf>; Complaint, *Valenzuela v. All. Cloud Servs., LLC*, No. 1:26-cv-01694 (W.D. Mich. May 26, 2026), available at <https://www.classaction.org/media/valenzuela-et-al-v-alliance-cloud-services-llc-complaint.pdf>. Please note that the New Jersey case was voluntarily dismissed without prejudice on June 19, 2026. No explanation was provided, and we are monitoring whether the case will be refiled in some form.

14. Complaint, *Demers v. Digi Power X Inc.*, No. 1:26-cv-00672 (W.D.N.Y. Apr. 6, 2026), available at <https://www.classaction.org/media/demers-et-al-v-digi-power-x-inc.pdf>.

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19. See Amended Motion for Intervention and Dismissal at 8–9 (citing Exec. Order No. 14156, 90 Fed. Reg. 8433 (Jan. 20, 2025); Exec. Order No. 14179, 90 Fed. Reg. 8741 (Jan. 23, 2025)).

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22. *Bd. of Cnty. Supervisors of Prince William Cnty. v. Oak Valley Homeowners Ass’n*, No. VLW 026-7-114 (Va. Ct. App. Mar. 31, 2026); *see also* Va. Code Ann. § 15.2-2204; Jason Boleman, *Prince William County Data Center Rezoning Void*, VA. LAWS. WKLY. (Apr. 22, 2026), <https://valawyersweekly.com/2026/04/22/prince-william-county-data-center-rezoning-void>.
23. *See supra* note 22.
24. *See, e.g.*, Ellie White-Stevens, *Coweta Residents Sue to Block Project Sail Data Center*, THE CITIZEN (May 11, 2026), <https://thecitizen.com/2026/05/11/coweta-residents-sue-to-block-project-sail-data-center>.
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26. *See Restatement (Second) of Torts* §§ 826-831 (whether an invasion is unreasonable turns on balancing the gravity of the harm against the utility of the conduct). Compliance with applicable regulations, though relevant to the reasonableness inquiry, is generally not a complete defense.
27. *Id.* § 840D (a plaintiff’s “coming to the nuisance” is a relevant but not dispositive factor).
28. *See* Fed. R. Civ. P. 23(b)(3).
29. *See* 33 U.S.C. § 1342(k) (providing that compliance with a National Pollutant Discharge Elimination System permit is generally deemed compliance with the Clean Water Act for enforcement and citizen suit purposes).
30. *See supra* notes 10–25.
31. *See* 28 U.S.C. § 1332(d).
32. *See* 42 U.S.C. § 7604 (Clean Air Act); 33 U.S.C. § 1365 (Clean Water Act).
33. *See* Press Release, *Granbury Residents Demand Answers From MARA’s Bitcoin Mine as Lawsuit Over Noise Nuisance Continues*, EARTHJUSTICE (2025), <https://earthjustice.org/press/2025/granbury-residents-demand-answers-from-maras-bitcoin-mine-as-lawsuit-over-noise-nuisance-continues> (noting denial of the defendant’s motion to dismiss).
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36. See *Oak Valley Homeowners Ass’n*, *supra* note 22.
37. See Yañez-Barnuevo, *supra* note 8 (describing acoustic mitigation measures); Va. Joint Legislative Audit & Review Comm’n, *supra* note 7, at 79–80 (siting and setback considerations).
38. See S. Env’t L. Ctr., *supra* note 17; Cong. Rsch. Serv., R48762, *Data Center Energy Infrastructure: Federal Permit Requirements* (Dec. 12, 2025), <https://www.congress.gov/crs-product/R48762>.
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